# Economics — Solved Exercises

## Classes 9–10 Combined — Solved Exercises — PCTB

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# Chapter 1: Introduction to Economics

## Question No. 1 — Multiple Choice Questions

1. Definition of Marshall is related to:

(a) Non-material things.

(b) Scarcity of means.

(c) Acquiring of wealth.

✓ (d) Material welfare.

2. The most clear and comprehensive definition of economics is given by:

(a) Adam Smith.

(b) Alfred Marshall.

✓ (c) Robbins.

(d) A.C. Pigou.

3. Economics refers to those goods which are:

(a) Limited.

(b) Scarce.

(c) Have prices.

✓ (d) a, b, and c.

4. The book by Adam Smith was published in the year:

(a) 1870.

(b) 1890.

✓ (c) 1776.

(d) 1876.

5. Economic resources include:

(a) Land.

(b) Labour.

(c) Capital.

✓ (d) a, b, and c.

## Question No. 2 — Fill in the Blanks

1. Economic problem arises because resources are _____.

scarce

2. Robbins criticized the definition given by _____.

Alfred Marshall

3. According to Robbins means have _____ uses.

alternative

4. The founder of economics was _____.

Adam Smith

5. The classical school of thought regarded economics as the study of _____.

wealth

## Question No. 3 — Match the Columns

Column A: Scarcity is — what is its correct match in column B?

Less than required.

Column A: Material welfare — what is its correct match in column B?

Measurement is not possible.

Column A: Micro economics deals with — what is its correct match in column B?

The study of an individual or a firm.

Column A: Macro economics deals with — what is its correct match in column B?

The study of economic aggregates as a whole.

Column A: Social science deals with — what is its correct match in column B?

The study of human behaviour.

## Question No. 4 — Short Answers

1. What does economics mean?

Economics is the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses. In simple words, it studies how people meet their unlimited wants with limited resources, and how the problem of choice arises from this scarcity.

2. Write the definition of Alfred Marshall.

Alfred Marshall defined economics as the study of mankind in the ordinary business of life. He said that economics examines that part of individual and social action which is most closely connected with the attainment and use of the material requisites of well-being. In other words, economics studies how people earn wealth and spend it to increase their material welfare.

3. Write the definition of Adam Smith.

Adam Smith defined economics as an inquiry into the nature and causes of the wealth of nations. He regarded economics as the science of wealth, which studies how wealth is produced, distributed, exchanged and consumed. His famous book 'The Wealth of Nations' was published in 1776.

4. What is the difference between Micro and Macro Economics?

Micro economics studies the economic behaviour of small units, such as an individual consumer, a firm or an industry, while macro economics studies the economy as a whole, such as national income, total employment and general price level. Micro economics deals with parts, macro economics deals with aggregates.

5. What does 'material welfare' mean?

Material welfare means the well-being that people obtain from material goods and services, such as food, clothing, housing and other necessities of life. It can be measured in terms of money, because material goods have prices, whereas non-material welfare, such as happiness or peace of mind, cannot be measured in money.

## Question No. 5 — Detailed Answers

1. 'Economics is a study of wealth'. Which economist said this? Explain the statement also.

Adam Smith said that 'Economics is a study of wealth'. He is called the founder of economics, and his book 'The Wealth of Nations' appeared in 1776. By wealth he meant all those material goods which are scarce, have utility and can be exchanged, and he studied how such wealth is produced, distributed, exchanged and consumed in a nation.

2. Explain in detail the definition of economics given by Alfred Marshall.

Alfred Marshall defined economics as the study of mankind in the ordinary business of life. He explained that economics examines that part of individual and social action which is most closely connected

with the attainment and use of the material requisites of well-being. The main points of his definition are: first, economics studies human beings and their daily economic activities, not wealth alone; second, it studies material welfare, that is, the well-being obtained from material goods; and third, wealth is only a means to welfare, not an end in itself. This definition broadened economics from a mere study of wealth to a study of human welfare.

3. Explain the definition of economics given by Lionel Robbins.

Lionel Robbins defined economics as the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses. The main points of his definition are: first, human wants are unlimited, while the resources to satisfy them are limited; second, resources have alternative uses, so man must choose between them; and third, the economic problem is the problem of choice. Robbins extended the scope of economics to all times and all societies, because scarcity and choice exist everywhere. His definition is considered the most clear and comprehensive definition of economics.

4. Explain the meaning of economics in detail.

Economics means the study of how human beings meet their unlimited wants with limited resources. The word economics comes from the Greek word 'Oikonomia', which means household management. In the beginning, economics was regarded as the study of wealth, then Marshall described it as the study of material welfare, and finally Robbins described it as the study of human behaviour under scarcity and choice. Thus economics is a social science which studies production, distribution, exchange and consumption of wealth, and guides man in making the best use of

scarce resources.

# Chapter 2: Subject Matter of Economics

## Question No. 1 — Multiple Choice Questions

1. Due to scarcity society is forced to:
   (a) Make roads.
   (b) Save resources.
✓ (c) Make choices.
   (d) Stop operating.

2. Scarcity exists in every society because:
   (a) Wants are limited and resources are unlimited.
   (b) Wants are unlimited and resources are unlimited.
✓ (c) Wants are unlimited and resources are limited.
   (d) Limited information and technology.

3. The word 'economics' refers to something that:
   (a) is scarce.
   (b) is limited.
   (c) commands a price.
✓ (d) all of the above.

4. An economic good is one which:
   (a) is sold at profit.
✓ (b) has a price.
   (c) has high quality.
   (d) is produced efficiently.

5. The term 'marginal' in economics means:
   (a) more.

(b) the minimum unit.

(c) additional.

(d) None of the above.

## Question No. 2 — Fill in the Blanks

1. Marginal utility of a good _____ with an additional unit.

falls

2. Economic _____ produces goods and services.

struggles

3. If value of a good is high its _____ is also high.

demand

4. Food, clothing and shelter are _____ goods.

necessary

5. Demand for producer's goods is called _____ demand.

derived

## Question No. 3 — Match the Columns

Column A: For economic goods — what is its correct match in column B?

Money is spent.

Column A: For non-economic goods — what is its correct match in column B?

Money is not needed.

Column A: For goods and services — what is its correct match in column B?

Expenditures are undertaken.

Column A: For consumer goods — what is its correct match in column B?

Producer goods are needed.

Column A: For demand of a good — what is its correct match in column B?

It must have a feature of satisfaction.

## Question No. 4 — Short Answers

1. What are economic goods?

Economic goods are those goods which are scarce in supply, have a price, and can be obtained only by paying for them or by making an effort, such as food, clothing, machinery and houses. They are limited as compared to human wants, so man has to spend money or labour to obtain them.

2. What does 'free goods' mean?

Free goods are those goods which are available in abundance, have no price, and can be obtained without any effort or payment, such as air, sunlight and water in a river. They are unlimited in supply as compared to wants, so no economic problem arises about them.

3. What is the meaning of utility?

Utility means the power or quality of a good by which it satisfies a human want. For example, food has utility because it satisfies hunger, and a book has utility because it satisfies the want of knowledge. A good has no economic importance unless it possesses utility.

4. What is the meaning of scarcity?

Scarcity means that resources are limited as compared to human

wants, which are unlimited. Because of scarcity, man cannot satisfy all his wants at the same time, so he has to make a choice between different wants. Scarcity is the root of all economic problems.

5. Write four kinds of wealth.

The four kinds of wealth are: individual wealth, which includes all material things a person possesses, such as a car, clothes and a house; public wealth, which is the property of a country, such as government buildings, roads and railways; national wealth, which includes natural resources such as rivers, mountains, minerals and natural gas; and international wealth, which includes air, ocean and space.

## Question No. 5 — Detailed Answers

1. Define human wants. Also explain their degrees and kinds.

Human wants mean the desires of man which he wishes to satisfy, such as the want of food, clothing and shelter. Wants have three degrees: necessaries, such as food and clothing, without which life is impossible; comforts, such as a good house and conveyance, which make life easy; and luxuries, such as ornaments and costly goods, which make life luxurious. Wants are also of different kinds: economic and non-economic, individual and collective, and present and future wants.

2. Explain the meaning of utility in economics and write a note on its importance.

Utility in economics means the power of a good to satisfy a human want. Its importance is that man tries to obtain only that good which has utility, and the value and price of a good depend on its utility. An

important feature of utility is the law of diminishing marginal utility, which states that the utility obtained from every additional unit of a good goes on decreasing. This principle helps in understanding consumer behaviour and the determination of prices.

3. What is the meaning of value? Explain the factors that determine it.

Value means the importance which man attaches to a good, and it is expressed in the form of its price. The factors that determine value are: utility of the good, that is, how much satisfaction it gives; scarcity of the good, that is, how limited its supply is; transferability, that is, whether it can be passed from one person to another; and its price, which is determined by demand and supply. A good with higher value generally commands a higher price.

4. Relate value with price.

Value and price are closely related to each other. Value is the importance of a good, while price is the value of a good expressed in terms of money. A good with higher value will have a higher price, because people are willing to pay more for a good that gives them greater satisfaction. In economics, therefore, there is a close relationship among utility, value and price: utility represents value, and value is expressed as price in the market.

# Chapter 3: Demand

## Question No. 1 — Multiple Choice Questions

1. If the price of a good decreases the quantity demanded

✓ (a) increases.

(b) decreases.

(c) remains constant.

(d) a, b, and c.

2. The demand curve slopes

✓ (a) downward to the right.

(b) upward to the right.

(c) vertical.

(d) horizontal.

3. The law of demand does not hold if goods are

(a) inferior.

(b) precious.

(c) scarce.

✓ (d) all of the above.

4. With an increase in the price of a good, its substitutes will have

(a) a fall in its price.

(b) an increase in its price.

✓ (c) an increase in its demand.

(d) a decrease in its demand.

## Question No. 2 — Fill in the Blanks

1. When price of a good _____ its quantity demanded decreases.

increases

2. With a decrease in the price of inferior goods _____ decreases.

demand

3. With an increase in the price of a prestigious goods its demand _____.

increases

4. A change in quantity demanded due to a change in price is called _____.

elasticity

## Question No. 3 — Match the Columns

Column A: Complementary goods — what is its correct match in column B?

An increase in the price of one good decreases the demand for another good.

Column A: Inferior goods — what is its correct match in column B?

Is a good whose quantity demanded decreases with a decrease in price.

Column A: Normal goods — what is its correct match in column B?

A decrease in the price of a good increases the quantity demanded.

Column A: Scarce goods — what is its correct match in column B?

Is a good whose quantity demanded increases with an increase in price.

Column A: Substitute goods — what is its correct match in column B?

An increase in the price of a particular good increases the demand of another good.

## Question No. 4 — Short Answers

### 1. Define demand.

Demand means the quantity of a good which a consumer is willing and able to buy at a given price in a given period of time. Mere desire is not demand; for demand, desire must be combined with the power to buy and the willingness to spend. For example, a poor man may desire a car, but it is not his demand unless he can pay for it.

### 2. Write the functional equation of demand.

The functional equation of demand shows the relationship between the quantity demanded of a good and the factors that affect it. It is written as Dx = f(Px, Ps, Pc, Y, T, E), where Dx is the quantity demanded of good X, Px is its own price, Ps and Pc are the prices of substitutes and complements, Y is the income of the consumer, T is his taste, and E stands for his expectations about future prices.

### 3. What does elasticity of demand mean?

Elasticity of demand means the degree of responsiveness of the quantity demanded of a good to a change in its price. If a small change in price causes a large change in the quantity demanded, demand is said to be elastic; if the quantity demanded changes only slightly, demand is inelastic. Elasticity is measured as the percentage change in quantity demanded divided by the percentage change in price.

### 4. What is the slope of a demand curve?

The slope of a demand curve is negative, which means that the curve slopes downward from left to right. This shows the inverse relationship between price and quantity demanded: when price rises, quantity demanded falls, and when price falls, quantity demanded

rises. That is why the demand curve is drawn falling towards the right.

5. What does 'other things remain constant' mean in the law of demand?

'Other things remain constant' in the law of demand means that the law applies only when all factors other than the price of the good itself, such as the consumer's income, his taste, the prices of related goods and population, remain unchanged. If these factors change, the demand curve itself shifts its position, and the simple inverse relationship between price and quantity demanded no longer holds.

## Question No. 5 — Detailed Answers

1. Law of demand and its assumptions.

The law of demand states that, other things remaining constant, the quantity demanded of a good rises when its price falls, and falls when its price rises. Its assumptions are: the prices of related goods do not change, the income and taste of the consumer remain the same, there is no change in population, and the good is a normal good, not an inferior or prestigious good. Under these assumptions, price and quantity demanded move in opposite directions.

2. Law of demand with the help of schedule and diagram.

The law of demand can be explained with the help of a demand schedule and a demand curve. A demand schedule is a table showing different prices of a good and the quantities demanded at those prices, for example: at price 10 the quantity demanded is 100 units, at price 20 it is 80 units, and at price 30 it is 60 units. When these price-quantity pairs are plotted on a diagram, with price on the

vertical axis and quantity on the horizontal axis, the points join to form the demand curve, which slopes downward from left to right, showing the inverse relationship between price and quantity demanded.

3. What does the law of demand mean? Give its limitations also.

The law of demand means that, other things remaining constant, there is an inverse relationship between the price of a good and its quantity demanded. Its limitations are: it does not apply to inferior goods, whose demand falls when price falls; it does not apply to prestigious or precious goods, whose demand rises when price rises; it does not apply when consumers expect further changes in price; and it fails when the quality of the good changes, as with a new model of a good.

4. What factors other than price bring changes in the quantity demanded?

The factors other than price that bring changes in the quantity demanded are: the income of the consumer, because richer consumers buy more; the prices of related goods, because a rise in the price of a substitute increases demand for the good; the taste and fashion of consumers; the size of population; expectations about future prices; and changes in the quality of the good, as when an improved model increases its demand without any change in price. These factors shift the whole demand curve instead of causing a movement along it.

# Chapter 4: Supply

## Question No. 1 — Multiple Choice Questions

1. Supply means:

(a) Total supply of a specific producer.

(b) Number of sellers.

✓ (c) Quantity of goods offered for sale at alternative prices.

(d) Purchasing power of quantity supplied.

2. Slope of a supply curve is:

(a) Negative.

✓ (b) Positive.

(c) Vertical.

(d) Horizontal.

3. More elastic supply means:

(a) A small change in quantity supplied without a change in price.

✓ (b) A small change in price brings a large change in quantity supplied.

(c) A large change in price brings a small change in quantity supplied.

(d) When price changes but quantity supplied does not change.

4. Which of the following factors do not change supply:

(a) Cost of production.

✓ (b) Political system of a country.

(c) Climatic conditions.

(d) Level of income.

5. Which of the following statement is not true?

(a) Generally supply is a part of stock.



(b) Supply curve has negative slope.

(c) Supply is the function of price.

(d) Quantity supplied changes due to change in elasticity.

## Question No. 2 — Fill in the Blanks

1. With an increase in tax on a good its production _____.

is reduced

2. The supply curve has _____ slope.

positive

3. Supply is a part of _____.

stock

4. Quantity supplied is a _____ of price.

function

5. With an increase in price quantity supplied _____.

increases

## Question No. 3 — Match the Columns

Column A: Elasticity of supply — what is its correct match in column B?

Change in quantity supplied due to a change in price.

Column A: If price is higher — what is its correct match in column B?

Producer increases supply.

Column A: Tax on goods — what is its correct match in column B?

Reduces the quantity supplied.

Column A: More elastic supply — what is its correct match in column B?

Small change in price but significant change in quantity.

Column A: Less elastic supply — what is its correct match in column B?

Larger change in price but small change in quantity supplied.

## Question No. 4 — Short Answers

1. What does supply mean?

Supply means the quantity of a good which a producer is willing and able to offer for sale at a given price in a given period of time. It is not the total stock of the good, but only that part of the stock which the producer actually brings to the market for sale at a particular price.

2. What is the difference between stock and supply?

Stock means the total quantity of a good available with the producer at a point of time, while supply means only that part of the stock which is actually offered for sale at a given price. For example, if a farmer has 100 bags of wheat in store but offers only 40 bags for sale at the current price, his stock is 100 bags but his supply is 40 bags. Generally, supply is a part of stock.

3. What does a supply schedule represent?

A supply schedule represents a table showing different prices of a good and the quantities supplied at those prices. For example, at price 10 the quantity supplied may be 50 units, at price 20 it may be 80 units, and at price 30 it may be 110 units. The schedule shows the

direct relationship between price and quantity supplied, which is then drawn as the upward-sloping supply curve.

## Question No. 5 — Detailed Answers

### 1. Define the law of supply and explain it with a schedule and a diagram.

The law of supply states that, other things remaining constant, the quantity supplied of a good rises when its price rises, and falls when its price falls. A supply schedule shows this directly: for example, at price 10 the quantity supplied is 50 units, at price 20 it is 80 units, and at price 30 it is 110 units. When these pairs are plotted on a diagram, with price on the vertical axis and quantity on the horizontal axis, the points join to form the supply curve, which slopes upward from left to right, showing the positive slope of supply and the direct relationship between price and quantity supplied.

### 2. What are the factors that affect the quantity supplied?

The factors that affect the quantity supplied are: the price of the good itself, because a higher price encourages producers to supply more; the cost of production, because higher costs reduce supply; the prices of related goods; the state of technology, because better methods increase supply; taxes and subsidies imposed by the government; climatic conditions, especially for agricultural goods; and the political system and stability of the country. A change in any of these factors, other than price, shifts the whole supply curve.

# Chapter 5: Equilibrium and Price Determination

## Question No. 1 — Multiple Choice Questions

1. The intersection of demand and supply curves show:
   (a) Equilibrium price.
   (b) Equilibrium quantity.
   (c) Market equilibrium.
✓ (d) All above.

2. Market is in equilibrium when:
   (a) The cost of production remains the same.
   (b) The cost of production is decreasing.
   (c) Desires of buyers are fulfilled.
✓ (d) Demand of a good is equal to its supply.

3. Equilibrium means:
   (a) The condition that is not possible.
   (b) An unstable condition.
   (c) A condition that cannot change.
✓ (d) Stable position.

## Question No. 2 — Fill in the Blanks

1. Market _____ is determined with demand and supply.

equilibrium

2. When demand is equal to _____ then market is in equilibrium.

supply

3. Market price is also called _____.

equilibrium price

4. In perfect competition no one can influence price and quantity by his _____.

individual action

5. Demand curve has _____ slope.

negative slope

## Question No. 3 — Match the Columns

Column A: Market — what is its correct match in column B?

A place where sellers and buyers are present.

Column A: Perfect competition — what is its correct match in column B?

Where no one can fix price with his individual action.

Column A: Equilibrium price — what is its correct match in column B?

Where supply and demand are equal.

Column A: Demand curve — what is its correct match in column B?

Negative slope.

Column A: Supply curve — what is its correct match in column B?

Positive slope.

## Question No. 4 — Short Answers

1. What does market equilibrium mean?

Market equilibrium means the situation in which the quantity demanded of a good is exactly equal to the quantity supplied at a given price. At this point there is neither excess demand nor excess

supply, so the price has no tendency to change, and the market is said to be in a stable position.

2. What is equilibrium price?

Equilibrium price is the price at which the quantity demanded of a good equals the quantity supplied. It is determined by the intersection of the demand curve and the supply curve, and at this price the plans of buyers and sellers match each other exactly.

3. What is determined by the intersection of supply and demand?

The intersection of the supply and demand curves determines the equilibrium price and the equilibrium quantity of the good. The point where the downward-sloping demand curve meets the upward-sloping supply curve shows the price at which the market clears and the quantity that is actually bought and sold.

## Question No. 5 — Detailed Answers

1. Explain market equilibrium with the help of a schedule and a diagram.

Market equilibrium can be explained with the help of a schedule and a diagram. A schedule shows different prices and the quantities demanded and supplied at each price, for example: at price 10 the quantity demanded is 100 units and the quantity supplied is 50 units, so there is excess demand; at price 30 the quantity demanded is 50 units and the quantity supplied is 100 units, so there is excess supply; but at price 20 both demand and supply are 75 units, so the market is in equilibrium. On a diagram, the demand curve DD slopes downward from left to right and the supply curve SS slopes upward from left to right, and the point where they intersect shows the

equilibrium price and equilibrium quantity.

2. What is meant by equilibrium price and quantity? Explain with the help of a diagram.

Equilibrium price is the price at which quantity demanded equals quantity supplied, and equilibrium quantity is the amount actually bought and sold at that price. On a diagram, the demand curve slopes downward and the supply curve slopes upward, and their intersection point E shows the equilibrium price on the vertical axis and the equilibrium quantity on the horizontal axis. If the price is set above equilibrium, supply exceeds demand and the price falls; if it is set below equilibrium, demand exceeds supply and the price rises, until the market returns to the intersection point.

# Chapter 6: Market and Production

## Question No. 1 — Multiple Choice Questions

1. The duty of a market is not
   - (a) To make exchange of goods and services possible
   - (b) To contact buyers and sellers
   - (c) To determine price
   - ✓ (d) To give maximum output
2. Which of the following is not a factor of production?
   - (a) land
   - (b) labour
   - (c) capital
   - ✓ (d) output
3. Kinds of market according to competition are
   - (a) four
   - (b) six
   - ✓ (c) two
   - (d) three
4. It is not a characteristic of perfect competition that
   - (a) Large number of sellers
   - (b) Homogeneity of goods
   - (c) Mobility of factors of production
   - ✓ (d) Price of the same commodity is different

## Question No. 2 — Fill in the Blanks

1. In the long run land becomes a _____ factor.

variable

2. Supply curve of daily market is _____.

inelastic

3. All factors of production become variable in the _____.

long run

4. In the long run with an increase in _____ price settles at normal level.

supply

5. Capital is that part of a person's wealth which helps in producing more _____.

income

## Question No. 3 — Match the Columns

Column A: In imperfect market — what is its correct match in column B?

Prices of goods are different.

Column A: In long run market — what is its correct match in column B?

Land is a variable factor of production.

Column A: In daily market — what is its correct match in column B?

Price changes daily.

Column A: In perfect market — what is its correct match in column B?

There is a rule of one price.

Column A: In short run market — what is its correct match in column B?

Land is a fixed factor of production.

## Question No. 4 — Short Answers

### 1. What does land mean?

Land means all the natural resources provided free by nature, such as soil, rivers, forests, minerals and climate, which are used in production. Land is a free gift of nature, its supply is limited, and it earns rent as its reward.

### 2. What does labour mean?

Labour means the physical and mental effort of man used in the production of goods and services. Labour is a living factor of production, it cannot be separated from the labourer, and it earns wages as its reward.

### 3. What does capital mean?

Capital means that part of man's wealth which is used for producing more wealth, such as machinery, tools, buildings and raw materials. Capital is man-made, it is the result of saving, and it earns interest as its reward.

### 4. What does organization mean?

Organization means the factor of production which brings land, labour and capital together and takes the risk of production. The organizer, or entrepreneur, decides what, where, how and for whom to produce, combines the other factors in the best proportion, and earns profit as his reward.

### 5. Why does price change in daily market?

Price changes in daily market because the supply of goods in a daily market, such as vegetables and fish, is fixed for the day and cannot be increased at once. When demand for such goods rises, the price rises, and when demand falls, the price falls, so the price changes

daily according to the demand of the day.

## Question No. 5 — Detailed Answers

1. What does a market mean? Give kinds of market with regard to the nature of competition.

Market means a place or arrangement where buyers and sellers meet for the exchange of goods and services. With regard to the nature of competition, markets are of two kinds: perfect market, in which there are a large number of buyers and sellers, the goods are homogeneous, there is one price for the same good, and no single buyer or seller can influence the price; and imperfect market, in which these conditions do not hold, prices of the same good differ, and sellers can influence prices.

2. Explain the difference between perfect and imperfect markets.

In a perfect market there are a large number of buyers and sellers, the goods are homogeneous, there is free entry and exit of firms, the factors of production are mobile, and one price rules for the same commodity. In an imperfect market, on the other hand, the number of buyers and sellers is limited, goods differ in quality, prices of the same good differ from place to place, and individual sellers can influence the price by their own action. Thus perfect competition is a rule of one price, while imperfect competition allows different prices.

3. Explain the characteristics of short and long period markets.

In a short period market, some factors of production, such as land, are fixed, while others, such as labour, can be changed, and supply can be increased only to a limited extent, so price is influenced mainly by demand. In a long period market, all factors of production

become variable, supply can be fully adjusted to demand, and price settles at its normal level, covering the cost of production. The daily market is an even shorter case, in which supply is completely fixed for the day and price changes daily with demand.

4. Write a note on importance of factors of production.

The factors of production are land, labour, capital and organization, and each is important in its own way. Land provides the natural resources and raw materials, labour provides the human effort, capital provides the machinery and tools that make production possible on a large scale, and organization combines all the other factors and bears the risk of production. Without any one of these factors, production cannot take place, and the progress of a country depends on the proper combination of all four.

5. Explain the role of capital in production.

Capital plays a very important role in production. It provides the machinery, tools and buildings without which modern large-scale production is impossible, and it increases the productivity of labour by giving the worker better equipment. Capital also makes it possible to use natural resources, to adopt new technology, and to carry on production during the long period between investment and the sale of the product. A country with more capital can produce more goods, provide more employment and develop faster.

# Chapter 7: Economic Problems of Pakistan and Their Remedial Measures

## Question No. 1 — Multiple Choice Questions

1. Life expectancy in Pakistan is:
   (a) 61 years
✓ (b) 66 years
   (c) 73 years
   (d) 71 years

2. Per capita income in Pakistan is:
   (a) 1200 US $
✓ (b) 1658.36 US $
   (c) 1561 US $
   (d) 1100 US $

3. Population growth rate in Pakistan is:
   (a) 3.1%
✓ (b) 2.4%
   (c) 4.1%
   (d) 1.1%

4. Contribution of agriculture sector to GDP is:
   (a) 70%
✓ (b) 19%
   (c) 65%
   (d) 35%

5. Total population of Pakistan, in 2021-22, was:

(a) 170.69 million

(b) 231.4 million

(c) 165.93 million

(d) 150.36 million

## Question No. 2 — Fill in the Blanks

1. Pakistan is an _____ country.

under developed

2. Per capita income is _____ income.

per person

3. Pakistan spends only _____ % of its GNP on education.

2.2

4. _____ % of our total population lives in rural areas.

63%

5. _____ % of our Pakistan's total area is suffering from salinity and water logging.

20

## Question No. 3 — Match the Columns

Column A: Agriculture sector's contribution to GDP is — what is its correct match in column B?

19.1%.

Column A: Share of industrial sector in GDP is — what is its correct match in column B?

21.02%.

Column A: Rate of population growth is — what is its correct match in column B?

2.4%.

Column A: In 2021-22, literacy rate was — what is its correct match in column B?

58.9%.

Column A: Share of expenditure on education in total national income is — what is its correct match in column B?

2.2%.

## Question No. 4 — Short Answers

1. What is meant by per capita income?

Per capita income means the average income of a person in a country, obtained by dividing the total national income by the total population of the country. It shows the average standard of living of the people, and a low per capita income means that the people of the country are poor on average.

2. Write down three reasons of population growth?

Three reasons of population growth in Pakistan are: first, a high birth rate, because of early marriages and a lack of family planning; second, a fall in the death rate, because of better medical facilities and health care; and third, illiteracy and social customs, which discourage small families and encourage large ones.

## Question No. 5 — Detailed Answers

1. What are the problems being faced by agriculture sector in

Pakistan?

The problems being faced by agriculture sector in Pakistan are: shortage of water and poor irrigation, small and divided holdings, lack of good seed and fertilizer, difficulty in obtaining loans for farmers, and the effects of changing weather. To solve them, dams should be built and irrigation improved, farmers should be given cheap loans and good seed, agricultural research should be promoted, and access to markets should be made easy so that the farmer gets a fair price for his produce.

2. Write down a detail note on 'Industrial Backwardness'?

Industrial backwardness in Pakistan means that the industrial sector of the country is under-developed as compared to developed countries. Its causes are shortage of energy, costly raw material, old machinery, lack of skilled labour and lack of investment. Because of industrial backwardness, the country cannot produce enough goods for its own needs, depends on imports, and provides fewer jobs, so removing it is necessary for economic development.

3. Explain reasons of illiteracy in Pakistan. Also give remedial measures to address this problem?

The reasons of illiteracy in Pakistan are poverty, because poor parents send their children to work instead of school; lack of schools, especially in rural areas; shortage of trained teachers; and social customs, which keep girls away from education. Its remedial measures are: compulsory and free primary education, opening more schools in villages, training and appointment of teachers, adult literacy programmes, and special attention to the education of women, who form more than half of the population.

4. What are the reasons for population growth in Pakistan?

The reasons for population growth in Pakistan are a high birth rate, a falling death rate due to better health facilities, early marriages, illiteracy, and social and religious customs that favour large families. Poverty also encourages large families, because children are regarded as earning hands. Unless these causes are removed through education and family planning, the population will keep growing faster than resources.

5. Give suggestions to control population growth rate?

The suggestions to control population growth rate are: spread of education, especially female education, because educated families prefer small families; provision of family planning facilities and health services in every area; raising the age of marriage through law; creating employment opportunities, especially for women, so that they take part in economic development; and discouraging social customs that favour large families through public awareness campaigns.

6. Write down in detail causes of low per capita income in Pakistan?

The causes of low per capita income in Pakistan are: rapid population growth, which divides the national income among more people; backwardness of agriculture and industry, which keeps production low; illiteracy and lack of skilled labour, which reduce productivity; shortage of capital and energy; and dependence on imports, which drains foreign exchange. Because of these causes, the total income of the country grows slowly while the population grows fast, so the income per person remains low.

# Chapter 8: Basic Concepts of National Income

## Question No. 1 — Multiple Choice Questions

1. Basically, national income is the sum of:

✓ (a) Money value of goods and services

(b) Country's national resources

(c) Income from government taxes

(d) Value of industrial and agricultural goods

2. Which one of the following is called per capita income:

✓ (a) Annual income per person

(b) Annual income per family

(c) Monthly income per family

(d) Monthly income per person

3. What is deducted from gross national product to get net national product:

(a) Indirect taxes

(b) Government subsidies

✓ (c) Depreciation allowances

(d) Transfer payments

4. Which of the following is not related to disposable personal income?

(a) Income received from scholarships

(b) Zakat payments

(c) Income received from gifts

✓ (d) Total Income of a clerk

5. In any country, investment depends upon:

(a) Weather conditions

(b) Business conditions

(c) National savings

(d) Consumption

## Question No. 2 — Fill in the Blanks

1. Per capita income is derived from dividing national income by _____.

total population

2. Total income of factors of production is always equal to the _____ of goods and services.

money value

3. _____ income of a country represents standard of living of its people.

per capita income

4. Unemployed and needy person gets _____ from government without rendering any service.

transfer payments

5. The amount spent for repair and maintenance of plant and machinery is called _____.

depreciation allowance

## Question No. 3 — Match the Columns

Column A: Reward of physical and mental labour is — what is its correct match in column B?

Income.

Column A: Per capita income is equal to — what is its correct match in column B?

Total National Income / total population.

Column A: Subsidies are — what is its correct match in column B?

Government allowances.

Column A: Transfer payments are — what is its correct match in column B?

Zakat and gifts etc.

Column A: Services without payments like — what is its correct match in column B?

Ironing one's own clothes.

## Question No. 4 — Short Answers

1. What does personal income mean?

Personal income means the total income actually received by a person from all sources in a year, such as wages, rent, interest and profit, before the payment of direct taxes. It includes transfer payments, such as scholarships and pensions, but it is less than national income, because some income, like undistributed company profits, is not received by persons.

2. What is difference between gross domestic product and gross national product?

Gross domestic product means the money value of all final goods and services produced within the geographical boundaries of a country in a year, while gross national product means the money value of all final goods and services produced by the nationals of the

country, including their income earned abroad and excluding the income of foreigners within the country. Thus GNP equals GDP plus net factor income from abroad.

3. What does net national product mean?

Net national product means the gross national product minus depreciation allowances, that is, the amount spent on the repair and maintenance of plant and machinery. It shows the actual addition to the national income of the country after providing for the wear and tear of capital goods.

4. What is difference between income and transfer payments?

Income means the reward received for rendering a productive service, such as wages for labour and rent for land, while transfer payments mean payments received without rendering any service, such as Zakat, gifts, scholarships and unemployment allowances. Income is a payment for a service, whereas a transfer payment is a one-sided payment with no service in return.

5. What does disposable personal income mean?

Disposable personal income means the personal income left with a person after the payment of direct taxes, which he can spend or save as he likes. It is the income actually available for consumption and saving, and it is less than personal income by the amount of direct taxes paid to the government.

## Question No. 5 — Detailed Answers

1. Define and explain concept of national income.

National income means the money value of all final goods and services produced in a country in a year, together with the total

income earned by the factors of production in that period. It is the sum of wages, rent, interest and profit, and it is always equal to the money value of goods and services produced. National income is the most important measure of the economic progress of a country, because a rising national income means rising production and a higher standard of living.

2. Explain various concepts of national income.

The various concepts of national income are: gross domestic product, which is the value of production within the country; gross national product, which adds net income from abroad; net national product, which is GNP minus depreciation; national income, which is NNP minus indirect taxes plus subsidies; personal income, which is the income actually received by persons; and disposable personal income, which is personal income minus direct taxes. Each concept shows a different stage between total production and the income actually available to the people.

3. What is meant by per capita income? Also explain economic significance of transfer payments and depreciation allowances.

Per capita income means the national income divided by the total population, and it represents the average standard of living of the people. Transfer payments, such as Zakat and unemployment allowances, have great economic significance because they support the poor and needy without any service in return and reduce inequality. Depreciation allowances are also significant, because the amount set aside for the repair and replacement of machinery keeps the capital stock of the country intact and makes production possible in the future.

4. Explain the following economic concepts and establish relationship

between them with the help of examples: (a) Consumption (b) Savings (c) Investment

Consumption means the use of goods and services for the satisfaction of wants, savings mean the part of income which is not spent on consumption, and investment means the use of savings for the production of more goods, such as buying machinery or building a factory. Their relationship is that income is either consumed or saved, and savings are invested to increase production; for example, a man earning 100 rupees may spend 70 on consumption, save 30, and invest the 30 in a small business, which increases his future income. Thus consumption, savings and investment are linked: savings make investment possible, and investment increases future consumption.

# Chapter 9: Money

## Question No. 1 — Multiple Choice Questions

1. Which of the following is not included in the functions of money?

(a) Medium of exchange

(b) Standard of value

(c) Store of value

✓ (d) Indivisibility

2. Which of the following economy does not use money as a medium of exchange?

(a) Open

✓ (b) Barter

(c) Islamic

(d) Close

3. Which authority issues currency notes in Pakistan?

(a) Commercial banks

✓ (b) Central bank

(c) Agriculture bank

(d) Industrial bank

4. Prices are increased with an increase in quantity of money; how value of money is affected in such cases:

✓ (a) falls

(b) rises

(c) remains constant

(d) remains normal

5. Which kind of money has to be accepted legally in discharge of debt and routine business transactions?

(a) Paper money

(b) Credit money

(c) Monetary goods

(d) Near money

## Question No. 2 — Fill in the Blanks

1. In _____, goods are exchanged for goods.

barter system

2. Money having equal face value and real value is called _____.

standard money

3. Money consisting of cheques, drafts, hundies and credit cards issued by banks is called _____.

credit money

4. Money having more face value than its real value is termed as _____.

token money

5. Value of money _____ with increase in its quantity/supply.

falls

## Question No. 3 — Match the Columns

Column A: Postal certificates — what is its correct match in column B?

Are near money.

Column A: Fiat money — what is its correct match in column B?

Is legal tender.

Column A: Source of transaction of goods — what is its correct match in column B?

Is medium of exchange.

Column A: Purchasing power of money means — what is its correct match in column B?

Value of money.

Column A: Easy transfer of wealth means — what is its correct match in column B?

Easy transfer of the place.

## Question No. 4 — Short Answers

1. Explain/Write down important features of G. Crowther's definition of money.

G. Crowther defined money as anything that is generally acceptable as a means of exchange and that acts as a measure and a store of value. The important features of his definition are: first, general acceptability, because money is accepted by everyone in exchange; second, it works as a medium of exchange, removing the difficulties of the barter system; and third, it works as a measure of value and a store of value, so wealth can be kept for the future.

2. What is meant by paper money?

Paper money means the currency notes issued by the central bank of a country, which are accepted by everyone in payment because the law declares them legal tender. Paper money has no value of its own as paper, but its face value is greater than its real value, and it circulates because people have faith in the issuing authority and the

government.

3. Differentiate between convertible and inconvertible paper money.

Convertible paper money is that paper money which can be exchanged on demand for gold or silver coins of equal value, while inconvertible paper money cannot be exchanged for gold or silver and circulates only on the faith of the government. Convertible money is backed by metallic reserves, whereas inconvertible money is backed only by law and public confidence.

4. What is meant by value of money?

Value of money means the purchasing power of money, that is, the quantity of goods and services that one unit of money can buy. When prices rise, the value of money falls, because the same amount of money buys fewer goods; and when prices fall, the value of money rises. Thus the value of money and the general price level move in opposite directions.

## Question No. 5 — Detailed Answers

1. Define barter system. Also state difficulties faced by this system.

Barter system means the direct exchange of goods for goods without the use of money, for example, exchanging wheat for cloth. The difficulties faced by this system are: lack of double coincidence of wants, because the wheat owner must find a cloth owner who wants wheat; difficulty in measuring value, because there is no common measure; difficulty in dividing goods, because a cow cannot be divided for small exchanges; difficulty in storing wealth; and difficulty in making deferred payments and transporting goods.

2. Define money and describe its important features.

Money is anything that is generally acceptable as a medium of exchange and as a measure and store of value. Its important features are: general acceptability by everyone; it works as a medium of exchange and removes barter difficulties; it is a measure of value, so the prices of all goods can be compared; it is a store of value, so wealth can be saved for the future; and it makes deferred payments and the transfer of wealth easy.

3. Explain functions of money with the help of examples.

The functions of money are: medium of exchange, because goods are bought and sold for money instead of direct barter; measure of value, because the price of every good is expressed in money; store of value, because money can be saved for future use; standard of deferred payments, because loans and wages are fixed in money; and transfer of wealth, because money can be easily carried from one place to another. For example, a farmer sells his wheat for money, keeps the money, and later buys cloth with it.

4. Describe in detail the following kinds of money with Examples: (a) Credit money (b) Near money (c) Paper money (d) Metallic money (e) Token money

The kinds of money are: credit money, which consists of cheques, drafts, hundies and credit cards issued by banks and depends on the credit of the bank; near money, which includes postal certificates and prize bonds that can be quickly converted into money; paper money, which consists of currency notes issued by the central bank and accepted as legal tender; metallic money, which consists of coins made of gold, silver, nickel or copper; and token money, whose face value is greater than the value of the metal or paper it contains, such as small coins and notes.

5. Explain in detail the factors causing changes in the value of money.

The factors causing changes in the value of money are: the quantity of money, because an increase in its supply raises prices and lowers its value; the volume of production, because more goods against the same money raise its value; the velocity of circulation, because faster spending raises prices; the demand for money, because higher demand raises its value; and changes in population, taxes, and government expenditure, which affect prices. In short, the value of money depends on the demand for and supply of money in relation to goods.

# Chapter 10: Bank

## Question No. 1 — Multiple Choice Questions

1. The institution which accepts deposits and advances loans is called:

(a) Central bank

✓ (b) Commercial bank

(c) Industrial bank

(d) Agricultural bank

2. Which of the following function is not performed by the central bank?

(a) Issuing currency notes

(b) Managing and securing foreign exchange reserves

(c) To control credit money

✓ (d) Earning profit on deposits

3. Which of the following accounts are used by the central bank for advancing loans to the commercial banks:

(a) Time deposits

✓ (b) Hundies

(c) Demand deposits

(d) Saving deposits

## Question No. 2 — Fill in the Blanks

1. The rate used by the central bank to advance loans to commercial

banks is called _____.

bank rate

2. State bank of Pakistan issues currency notes following _____ system.

proportional reserve

3. Issuance of loans on profit and loss sharing basis was introduced in _____.

1981

4. Under _____, the bank provides finance (capital) and the borrower invests his skill/profession to set the venture operational.

modaraba

5. Central bank has _____ to issue currency notes.

monopoly

## Question No. 3 — Match the Columns

Column A: Fixed fiduciary system — what is its correct match in column B?

Inelastic.

Column A: Under the central bank — what is its correct match in column B?

Scheduled banks.

Column A: Deflation — what is its correct match in column B?

Decrease in purchasing power.

Column A: Issuance of notes — what is its correct match in column B?

Central bank.

Column A: Central bank — what is its correct match in column B?

Controller of money supply.

## Question No. 4 — Short Answers

### 1. Explain the principles of note issuing?

The principles of note issuing are: first, the currency system, which requires that notes be issued under a proper system, such as the proportional reserve system; second, the security principle, which requires that the central bank keep sufficient reserves against the notes issued; and third, the elasticity principle, which requires that the supply of notes can be increased or decreased according to the needs of trade. These principles keep the currency stable and trustworthy.

### 2. Why the central bank is called banker to the state?

The central bank is called banker to the state because it acts as the banker of the government: it keeps government deposits, makes payments on behalf of the government, manages the public debt, and advises the government on monetary matters. Just as a commercial bank serves the public, the central bank serves the state in all its banking business.

### 3. What is meant by bank rate policy?

Bank rate policy means the policy of the central bank to control credit by changing the bank rate, which is the rate at which the central bank advances loans to commercial banks. When the bank rate is raised, loans become costly, credit contracts and prices fall; when it is lowered, loans become cheap, credit expands and business activity increases. Thus bank rate policy is a tool for controlling the money supply.

## Question No. 5 — Detailed Answers

1. What is meant by a commercial bank? Also explain its functions.

A commercial bank is an institution which accepts deposits from the public and advances loans to traders, industrialists and farmers. Its functions are: accepting deposits in current, saving and fixed accounts; advancing loans and overdrafts; transferring money from one place to another; collecting cheques and bills on behalf of customers; issuing credit instruments like drafts; and providing safe custody of valuables. Commercial banks thus collect the scattered savings of the people and make them available for trade and industry.

2. What are important kinds of banks?

The important kinds of banks are: central bank, which issues currency and controls credit; commercial banks, which accept deposits and advance loans; industrial banks, which provide long-term loans to industries; agricultural banks, which provide loans to farmers; and savings banks, which encourage small savings of the people. Each kind serves a different part of the economy, but all of them deal in money and credit.

3. What is the central bank? Write down its functions.

The central bank is the apex bank of a country, which issues currency notes, controls credit and acts as banker to the government and to the commercial banks. Its functions are: monopoly of note issue; banker to the government; bankers' bank, keeping the reserves of commercial banks; controller of credit and money supply; custodian of foreign exchange reserves; and clearing house for commercial banks. The State Bank of Pakistan performs all these functions in our country.

4. How does the central bank control credit money as the controller

of money supply?

The central bank controls credit money as the controller of money supply by using the bank rate, open market operations and the reserve ratio. By raising the bank rate and selling securities, it makes loans costly and contracts credit; by lowering the bank rate and buying securities, it makes loans cheap and expands credit. By raising the cash reserve ratio of commercial banks, it reduces their power to lend, and by lowering it, it increases their lending power. In this way the central bank keeps the money supply according to the needs of the economy.

5. What steps have been taken for the success of interest free banking in Pakistan? Write in detail.

The steps taken for the success of interest free banking in Pakistan are: the introduction of profit and loss sharing in 1981, under which banks share profit and loss with depositors instead of paying interest; the mode of modaraba, under which the bank provides capital and the borrower provides skill; the mode of musharaka, under which both bank and borrower share capital and profit; interest free loans with service charges, usually for exporters; and qarz-e-hasna, interest free loans for the needy, especially students, for educational expenses. The government amended the relevant laws so that the banking system works according to the teachings of Islam.

# Chapter 11: Trade

## Question No. 1 — Multiple Choice Questions

1. The cause of international trade among various countries is:

(a) Establishment of industries

✓ (b) Un-equal distribution of resources

(c) Economic development

(d) To increase production

2. A comprehensive record of all economic transactions of residents of one country and foreign countries is called:

(a) International trade

✓ (b) Balance of payments

(c) Balance of trade

(d) Domestic trade

3. Which of the following items exported from Pakistan has maximum contribution in foreign exchange earnings:

(a) Carpets

(b) Leather

(c) Hosiery

✓ (d) Cotton

4. Usually, Pakistan's balance of trade is in:

✓ (a) Deficit

(b) Balance

(c) Protection

(d) Profit

5. Which of the following items causes maximum foreign exchange spending:

(a) Papers

(b) Colours and dyes



(c) Petroleum

(d) Silk

## Question No. 2 — Fill in the Blanks

1. Trade among different cities of a country is called _____.

domestic trade

2. _____ is at the top in the list of Pakistan's exports.

cotton

3. By following the principles of _____, cost of production may be reduced.

specialization

4. Balance of _____ includes all visible and invisible goods.

payments

5. Labour and capital mobility to foreign countries has to face _____.

difficulties

## Question No. 3 — Match the Columns

Column A: Optimum utilization of resources — what is its correct match in column B?

Specialization.

Column A: Invisible goods — what is its correct match in column B?

Can not be seen.

Column A: Regional trade of goods — what is its correct match in column B?

Domestic trade.

Column A: Visible goods — what is its correct match in column B?

Machine.

Column A: Transportation of goods — what is its correct match in column B?

Buses and trucks.

## Question No. 4 — Short Answers

1. Write any three advantages of international trade.

Three advantages of international trade are: first, every country gets those goods which it cannot produce itself; second, specialization and division of labour reduce the cost of production; and third, competition improves the quality of goods and provides employment and foreign exchange to the country.

2. Write any three disadvantages of international trade.

Three disadvantages of international trade are: first, dependence on foreign countries, which is harmful in times of war; second, local industries suffer because of competition with cheaper foreign goods; and third, the balance of trade usually remains in deficit, which drains the foreign exchange reserves of the country.

3. Write names of three important imports and three important exports of Pakistan.

Three important imports of Pakistan are petroleum and its products, machinery and raw material, and chemical goods, while three important exports of Pakistan are cotton and cotton cloth, carpets,

and leather and its products. These items form the major part of Pakistan's foreign trade.

## Question No. 5 — Detailed Answers

### 1. Clearly differentiate between domestic trade and international trade.

Domestic trade means trade within the boundaries of one country, between different cities and regions, in the same currency and under the same laws, with free mobility of labour and capital. International trade means trade between different countries, in different currencies and under different laws, with restrictions on the movement of labour and capital and with payments through foreign exchange. Thus domestic trade is simple and free, while international trade faces legal, currency and transport difficulties.

### 2. Describe advantages and disadvantages of international trade.

The advantages of international trade are: availability of goods not produced at home, specialization which lowers costs, larger markets for producers, better quality through competition, and earning of foreign exchange. Its disadvantages are: dependence on other countries, harm to local industries from foreign competition, deficit in the balance of trade, and the danger that political differences may stop the supply of essential goods. On balance, international trade is useful if it is managed so that its disadvantages are kept under control.

### 3. What is difference between balance of trade and balance of payment?

Balance of trade means the difference between the value of visible

goods exported and imported by a country, while balance of payments means the comprehensive record of all economic transactions, visible and invisible, between the residents of one country and foreign countries. Balance of trade covers only goods, whereas balance of payments also covers services, interest, gifts and capital movements, so the balance of payments is a wider concept than the balance of trade.

4. Explain important imports and exports of Pakistan.

The important imports of Pakistan are petroleum and its products, because the country lacks oil resources; eatables such as tea, edible oil and sugar; chemical goods needed by industries; machinery and raw material needed for industrial development; iron, steel and chemical fertilizers. The important exports of Pakistan are cotton and cotton cloth, which hold the top position; carpets, famous for hand-knotted quality; leather and its products; and other items such as surgical goods, sports goods and ready-made garments. Pakistan's balance of trade usually remains in deficit, because imports exceed exports.

# Chapter 12: Public Finance

## Question No. 1 — Multiple Choice Questions

1. Under public finance, the Government estimates its revenue and expenditure for:

✓ (a) one year

(b) one month

(c) two years

(d) six months

2. Under public finance, the Government can cover the budgetary deficit by:

(a) increase in production

(b) increase in revenue

✓ (c) printing of currency notes

(d) decrease in money supply

## Question No. 2 — Fill in the Blanks

1. In _____ finance, individuals cut their coats according to their clothes.

private finance

2. The Government _____ its annual revenue and expenditure.

advertises

3. _____ is a compulsory payment.

tax

4. Budget is also called as _____.

estimate

5. Pakistan's budgetary period starts from July 01 of current year to _____ of next year.

30th June

## Question No. 3 — Match the Columns

Column A: Budget duration — what is its correct match in column B?

One year.

Column A: Source of public revenue — what is its correct match in column B?

Taxes.

Column A: Do not disclose income — what is its correct match in column B?

General public.

Column A: Income tax — what is its correct match in column B?

Direct deduction.

Column A: Fine — what is its correct match in column B?

Wrong parking.

## Question No. 4 — Short Answers

1. What is meant by public finance?

Public finance means the study of the revenue and expenditure of the government and the management of public debt. It studies how the government collects its income through taxes and other sources, how it spends that income on defence, administration and welfare,

and how it covers its deficit when expenditure exceeds revenue.

2. What is meant by private finance?

Private finance means the finance of individuals and private institutions, in which a person cuts his coat according to his cloth, that is, he adjusts his expenditure according to his income. Unlike the government, a private person cannot print currency notes or borrow without limit, and he must keep his expenditure within his income.

3. Write two points of difference between public finance and private finance?

Two points of difference between public and private finance are: first, the government adjusts its income according to its expenditure, while a private person adjusts his expenditure according to his income; and second, the government can print currency notes and borrow on a large scale, while a private person cannot do so.

4. Write down names of any five sources of public revenue?

Five sources of public revenue are: taxes, such as income tax and sales tax; fees charged for government services; fines imposed for breaking laws, such as wrong parking; profits of government enterprises; and miscellaneous revenues, such as royalties, grants and gifts from foreign governments.

5. What is meant by public debt?

Public debt means the money borrowed by a government to make up its deficit. It comprises all loans obtained by a government to finance its requirements, including defence, trade and commerce, exploration of natural resources and social development projects. The government has to pay interest as well as the principal amount of these loans.

## Question No. 5 — Detailed Answers

1. Differentiate between public finance and private finance.

Public finance differs from private finance in several ways: the government adjusts its income to its expenditure, while a private person adjusts his expenditure to his income; the government can print notes and borrow heavily, while a person cannot; the government spends for public welfare and not for profit, while a person spends for his own benefit; and the government budget is usually a deficit budget, while a private budget is usually balanced. These differences arise because the aims and powers of the government are different from those of an individual.

2. Describe similarities between public finance and private finance.

The similarities between public and private finance are: both deal with income and expenditure; both try to keep a balance between income and expenditure; both borrow when income falls short; and both aim at maximum welfare, the government for the public and the individual for his family. In both cases, a deficit causes difficulties and a surplus provides relief.

3. Explain sources of public revenue.

The sources of public revenue are: taxes, which are compulsory payments, such as income tax, sales tax and customs duties; fees for government services; fines for breaking laws; income from government property and enterprises; and miscellaneous sources, such as royalties, grants and gifts from foreign governments and organizations. All these resources are used for the collective social welfare of the general public.

4. Write down major heads of public expenditure.

The major heads of public expenditure are: defence, which takes a major portion of revenue for strengthening national defence; debt servicing, which is the payment of interest and principal on loans; courts and judiciary, for the supremacy of law; administration, for paying government employees and running departments; and miscellaneous expenditure, for basic amenities such as education, healthcare, drinking water and communication. Defence expenditure is one of the major parts of government spending.

5. Write notes on the following: (i) Budget (ii) Public debt

Budget means the annual statement of the estimated revenue and expenditure of the government for one year, from 1st July to 30th June of the next year. It is also called an estimate, because it estimates the income and spending of the coming year. Public debt means the money borrowed by the government to cover its deficit, for reasons such as completing development projects, meeting emergencies like floods and earthquakes, and covering the deficit in the balance of payments. The government pays interest and principal on this debt from its revenue.

# Chapter 13: Economic Development

## Question No. 1 — Multiple Choice Questions

1. Economic development is a process whereby real national income of an economy increases:

(a) for a short period of time

✓ (b) for a long period of time

(c) for fixed period of time

(d) temporarily

2. Most important sector of Pakistan's economy is:

(a) industry

(b) trade

(c) communication

✓ (d) agriculture

3. Industry contributes to Pakistan's GDP:

(a) 20%

(b) 25%

✓ (c) 21.02%

(d) 30%

4. Which one of the following factors is not necessary for economic development:

(a) economic factors

(b) political factors

(c) cultural factors

✓ (d) private factors

5. Best definition of economic development is given by:

(a) Robbins

(b) Arther Lewis

(c) Keynes

✓ (d) Meier and Baldwin

## Question No. 2 — Fill in the Blanks

1. Under developed economies have a _____ rate of economic development.

slow

2. Agriculture sector is the _____ of Pakistan's economy.

backbone

3. Cultural and trade links among various countries may be improved through _____.

means of communication

4. Specialization in production and production capacity of various sectors may be increased by use of _____.

modern technology

## Question No. 3 — Match the Columns

Column A: Economic development — what is its correct match in column B?

Increase in real national income.

Column A: Infrastructure — what is its correct match in column B?

Basic need of our economy.

Column A: Contribution of agriculture sector — what is its correct

match in column B?

19.1%.

Column A: Economic factors — what is its correct match in column B?

Technology.

Column A: Means of communication — what is its correct match in column B?

Internet.

## Question No. 4 — Short Answers

1. What is meant by economic development?

Economic development means the process by which the real national income of a country increases over a long period of time and the standard of living of the people rises. It is not merely an increase in income, but also includes improvement in education, health, employment and basic infrastructure.

2. Write down names of economic factors of economic development?

The names of economic factors of economic development are: capital, natural resources, technology, skilled labour and entrepreneurship. These factors increase production and productivity, and their proper use speeds up the rate of economic development.

3. Describe the importance of industrial sector in Pakistan.

The industrial sector is important in Pakistan because it provides employment opportunities, produces goods for exports, converts agricultural raw material into useful products, and contributes about 21 percent to the national income. Industries increase the self-reliance of the country and speed up the rate of economic

development.

4. Why is agriculture sector important for Pakistan?

The agriculture sector is important for Pakistan because it contributes about 19 percent of the national production, provides employment to a large part of the population, supplies raw material to industries, such as cotton to the textile industry, and meets the food needs of the country. That is why agriculture is called the backbone of Pakistan's economy.

5. What is the role of technology in economic development of Pakistan?

The role of technology in the economic development of Pakistan is that modern machines and methods increase production and reduce cost; in agriculture, new seed and irrigation methods increase output; in industries, automatic systems improve quality; and means of communication and the internet make trade and access to information easy. Technology therefore speeds up the rate of development.

## Question No. 5 — Detailed Answers

1. Define economic development.

Economic development means the long-term process in which the real national income and per capita income of a country increase continuously, and along with it the standard of living, education, health and employment of the people also improve. According to Meier and Baldwin, economic development is the process by which real national income increases over a long period of time.

2. Write down economic, social and political factors affecting

economic development.

The factors affecting economic development are: economic factors, such as supply of capital, use of natural resources, technology and skilled labour, which increase production; political factors, such as stability of government, law and order and good economic policies, which promote investment; and social factors, such as education, health, population growth and social traditions, which affect the productivity of labour and the habit of saving.

3. Explain the role of agricultural sector in economic development of Pakistan.

The role of the agriculture sector in the economic development of Pakistan is that it is the backbone of the economy, contributing about 19 percent of production and employing a large part of the population. It supplies raw material to industries and food to the people, and its progress increases the income of farmers, which increases the demand for industrial goods. The development of agriculture therefore promotes the development of the whole economy.

4. How is industrial sector helping in achieving economic growth in Pakistan?

The industrial sector is helping in achieving economic growth in Pakistan by providing employment, producing goods for exports and earning foreign exchange, and converting agricultural raw material into finished goods. Industries increase national income, make the country self-reliant, and raise the standard of living. However, the industrial sector still faces problems of energy shortage, costly raw material and old machinery, which must be removed by new energy sources, cheap loans and technical education.

5. Narrate the role of trade and banking in economic development of Pakistan.

The role of trade in the economic development of Pakistan is that exports earn foreign exchange, imports provide necessary machinery and raw material, and competition improves the quality of local industries. The role of banking is that banks collect savings and advance loans to industry and agriculture, promote investment, and make the transfer of money easy. Without trade and banking, the rate of economic development remains slow.

6. Explain, 'Why are the means of communication and modern technology essential for economic development?'

Means of communication and modern technology are essential for economic development because means of communication, such as radio, television, internet and print media, spread information quickly, give farmers and traders knowledge of prices and markets, and increase education and awareness. Modern technology increases production, reduces cost, creates new industries and makes the country able to compete in the world. That is why both are indispensable for development.

# Chapter 14: Economic System of Islam

## Question No. 1 — Multiple Choice Questions

1. In which system, rights of private ownership have been given to the human being as a Caliph?

(a) Capitalism

(b) Socialism

✓ (c) Islamism

(d) Mixed system

2. Which system is based on the principles of moderation?

(a) Capitalism

(b) Socialism

✓ (c) Islam

(d) Mixed system

## Question No. 2 — Fill in the Blanks

1. Islamic economic system is based on _____ banking system.

interest free

2. _____ of wealth is prohibited in Islamic economic system.

concentration

3. Literary meanings of _____ are growth and purification of wealth.

zakat

4. Zakat is a religious duty of each _____ Muslim.

sahib-e-nisab

5. Literary meanings of Usher are _____.

10%

## Question No. 3 — Match the Columns

Column A: Islamic economic system — what is its correct match in column B?

Complete code of life.

Column A: Rate of Zakat — what is its correct match in column B?

2.5 percent.

Column A: Zakat — what is its correct match in column B?

Religious financial duty.

Column A: Meanings of Zakat — what is its correct match in column B?

Purification and growth.

Column A: Purpose of Zakat — what is its correct match in column B?

Circulation of wealth.

## Question No. 4 — Short Answers

1. What is meant by Zakat?

Zakat means the fixed amount of wealth which a sahib-e-nisab Muslim pays to the deserving persons after the passing of a year, under the command of Allah. It is a financial worship, its rate is generally two and a half percent, and its purpose is to keep wealth in circulation and to reduce poverty.

2. Write five characteristics of Islamic economic system.

Five characteristics of the Islamic economic system are: first, the

right of private ownership, but as a trust from Allah; second, prohibition of interest; third, fair distribution of wealth through Zakat and Usher; fourth, discouragement of concentration of wealth and hoarding; and fifth, earning through lawful means and prohibition of unlawful sources of income, such as gambling and speculation.

### 3. Why is it said that Islamic economic system is moderate?

The Islamic economic system is called moderate because it adopts a balanced path between the uncontrolled freedom of capitalism and the complete control of socialism. It allows private ownership and also arranges fair distribution of wealth, it gives freedom to the individual and also cares for the welfare of society, so it is called a moderate system.

### 4. How are poverty and unemployment alleviated by Zakat?

Poverty and unemployment can be alleviated by Zakat in this way: the amount of Zakat is given to the poor and unemployed, which meets their basic needs; Zakat helps in starting small businesses, which creates employment; and wealth remains in circulation, which increases production and economic activity. In this way Zakat reduces economic inequality.

## Question No. 5 — Detailed Answers

### 1. What is meant by Islamic Economic system?

The Islamic economic system means the economic system which is based on the teachings of the Quran and Sunnah, and in which all matters of production, distribution, exchange and consumption are carried out according to Islamic principles. In this system Allah is regarded as the real owner of wealth and man is His deputy and

trustee, so wealth must be used according to the pleasure of Allah.

2. Write down salient features of Islamic economic system?

The salient features of the Islamic economic system are: the right of private ownership, but as a trust and within the limits set by Allah; complete prohibition of interest, replaced by banking based on profit and loss sharing; fair distribution of wealth through Zakat, Usher and charity; prohibition of concentration of wealth, hoarding and unlawful sources of income; respect for labour and protection of the rights of workers; and social welfare, meaning that meeting the basic needs of every person is the responsibility of the state.

3. What is Zakat and who can be the recipient of Zakat?

Zakat means the financial worship obligatory on a sahib-e-nisab Muslim, in which he pays a fixed share of his wealth, generally two and a half percent, to the deserving persons after the passing of a year. The recipients of Zakat are the eight categories stated in the Quran: the poor, the needy, the collectors of Zakat, those whose hearts are to be won, freeing of slaves, debtors, in the way of Allah, and the traveller.

4. How can the issue of unemployment be resolved through Zakat, Usher and charity in a Muslim state?

In a Muslim state, unemployment can be resolved through Zakat, Usher and charity in this way: the amount of Zakat is given to the poor for learning a skill and starting a business, so that they become self-reliant; Usher spends one-tenth of agricultural produce on poor farmers and rural welfare; and charity, that is, voluntary spending in the way of Allah, runs schools, hospitals and employment projects. Through these three sources, wealth reaches the poor, production increases, and poverty and unemployment in society decrease.